FINANCIAL ACCOUNTING

ELEVENTH EDITION

Chapter 4

Adjusting the accounts and preparing financial statements

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Learning objectives

After studying this presentation, you should be able to:

4.1 describe the difference between the cash basis and the accrual basis of measuring profit

4.2 explain the accounting cycle and the need for end-of-accounting-period adjusting entries

4.3 identify and prepare the different types of adjusting entries

4.4 prepare an adjusted trial balance and financial statements

Learning objectives

4.5 describe the difference between current and non-current assets and liabilities

4.6 use a worksheet to prepare the financial statements

4.7 explain how financial statements are used in decision making.

Measurement of profit

- **Cash basis:**
  - Income is recorded when cash is received.
  - Expenses are recorded when cash is paid.
  - It does not recognise income when goods are sold or services are performed on credit.
  - It is simple to operate.

Measurement of profit

- **Accrual basis:**
  - Income is recognised in the period in which the expected inflow of economic benefit can be reliably measured.
  - Expenses recognised when the consumption of benefits can be reliably measured.

Measurement of profit

- **Accrual basis:**
  - **Income (including revenue):**
    - Accounting definition:
      - Increases in economic benefits during the period in the form of inflows or enhancements of assets or decreases in liabilities.
      - Result in increases in equity.
      - Not contribution by the owners.

Measurement of profit

- **Accrual basis:**
  - **Income (including revenue):**
    - Income = Revenue + Gains
    - Recognised at the fair value of assets received.

Measurement of profit

- **Accrual basis:**
  - **Expenses:**
    - Accounting definition:
      - Decreases in economic benefits during the period in the form of outflows or depletions of assets or incurrences of liabilities.
      - Result in decreases in equity.
      - Not distributions to the owners.

Measurement of profit

- **Accrual basis:**
  - **Expenses:**
    - Expenses are recognised in the period in which the consumption of costs can be measured.

Measurement of profit

- **Accrual basis:**
  - **Temporary (nominal) accounts:**
    - Income and expense accounts are reduced to a zero balance at the end of the accounting period.

Measurement of profit

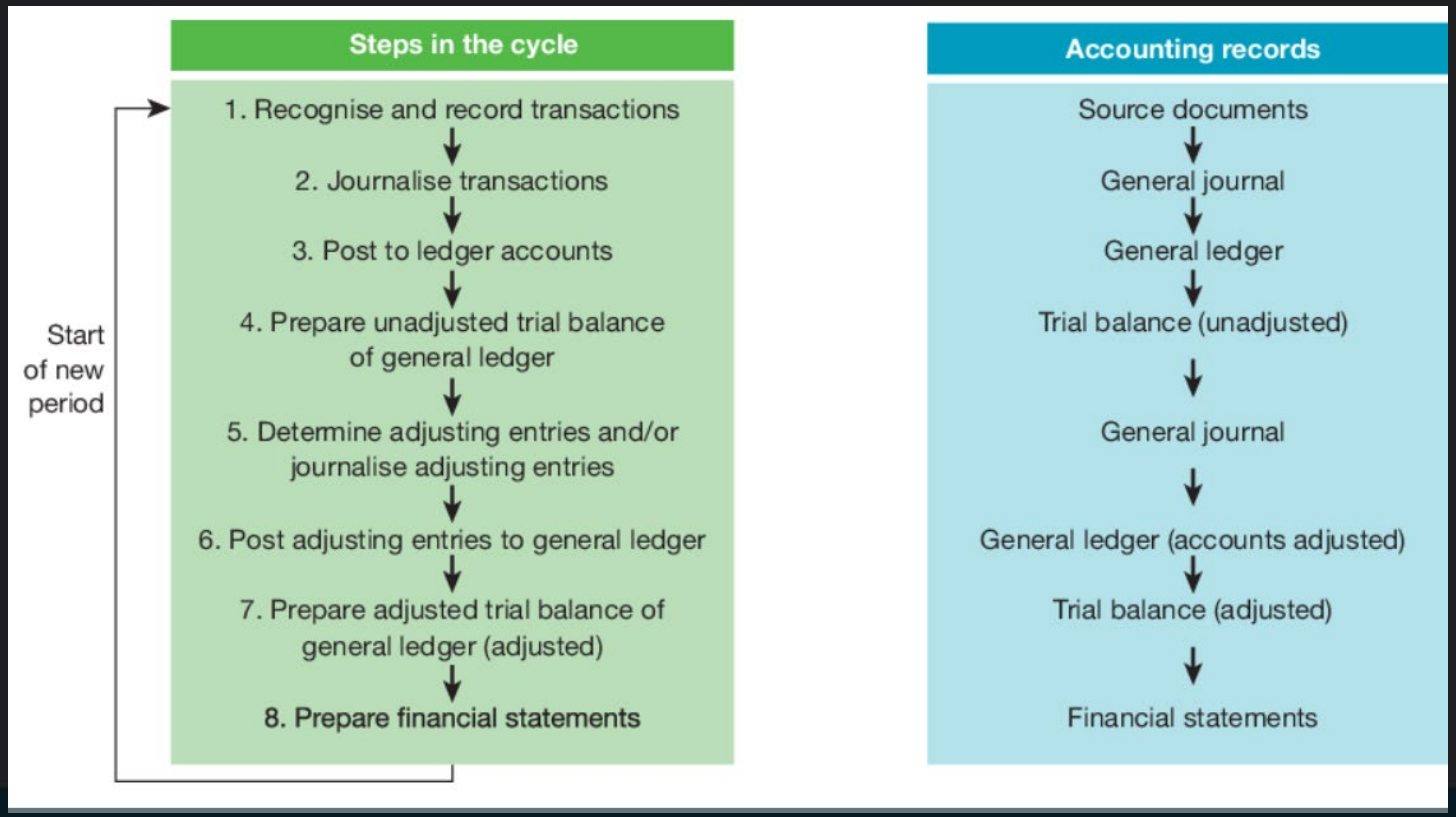
- **Accrual basis:**
  - **Permanent (real) accounts:**
    - accounts in the balance sheet are not closed
    - ending balances of one period are carried forward and become the beginning balances of the next period.

The accounting cycle — expansion to include adjusting entries

- Accounting has adopted the accrual basis assumption in the *Conceptual Framework end-of-period adjustments.*
- Adjusting entries are recorded in the general journal.

The accounting cycle — expansion to include adjusting entries

- **The accounting cycle – expanded to include adjusting entries:**



The accounting cycle — expansion to include adjusting entries

- **The need for adjusting entries:**
  - Period in which cash is paid or received does not coincide with period in which expense and income are recognised.
  - Some accounts must be adjusted on the last day of the accounting period to correctly recognise income and expenses not reflected in cash receipts or payments.

Classification of adjusting entries

- **Adjusting entries are classified into two major categories:**
  - **Deferrals:**
    - the expenses paid in advance (called ‘prepaid expenses’) or revenues received in advance (called ‘unearned revenues’).
  - **Accruals:**
    - the recognition of expenses incurred but not yet paid for (called ‘accrued expenses’).

Classification of adjusting entries

- **Types of adjustments:**

Deferrals	**Prepaid expenses**	**Unearned revenues**
(prepayments)	Costs/expenses paid for before they are consumed, e.g. rent paid in advance, insurance premiums paid for protection in the future (initially recorded as *assets* and charged to expenses in subsequent periods as they are consumed)	Revenues that have been collected or received in advance but not yet earned, e.g. magazine subscription fees received in advance, rent received in advance from a tenant (initially recorded as *liabilities* and recognised as revenue in subsequent periods as the revenue is earned)
Accruals	**Accrued expenses**	**Accrued revenues**
(unrecorded expenses and revenues)	Expenses incurred but not yet paid for or entered in the records, e.g. wages earned by employees but not yet paid, interest to be paid on a loan	Revenue earned but not yet received in cash or entered in the records, e.g. sales commissions earned but not yet paid, interest accumulated on a receivable but not yet received

Classification of adjusting entries

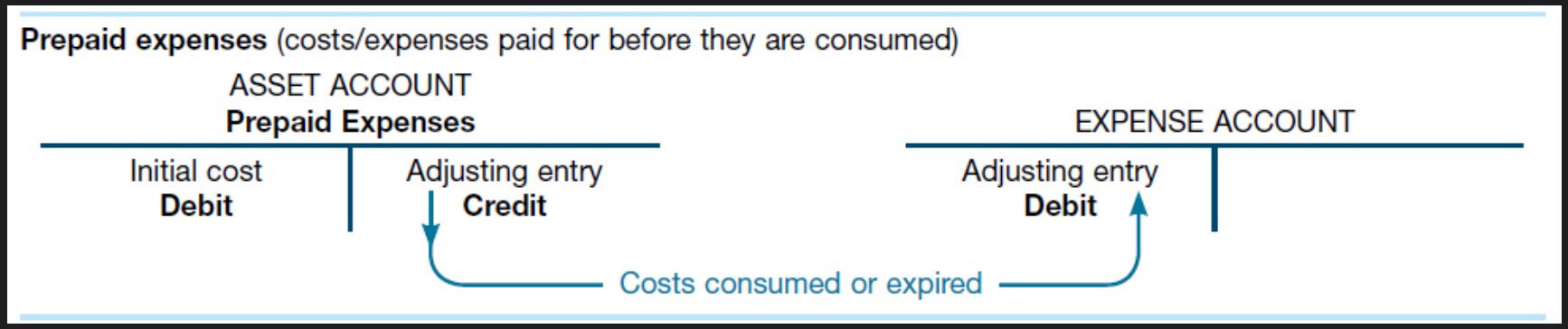
- **Rules for adjusting entries:**
  - One side of the entry affects a statement of financial performance account:
    - that is revenue or expense.
  - The other side of the entry affects an account reported in the statement of financial position - that is asset or liability.
  - The cash account is never adjusted as the cash flow occurs either before or after the end of the reporting period.

Classification of adjusting entries

- **Adjusting entries for deferrals:**
  - **Prepaid expenses:**
    - cash paid before benefits are consumed/expire
    - initially recorded as an asset when paid
    - at the end of the period the amount consumed/expired is expensed.

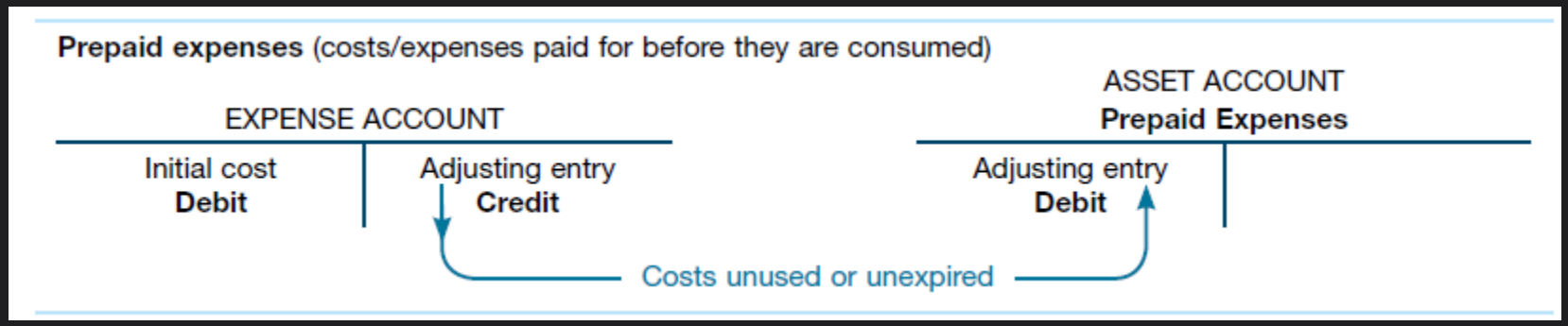
Classification of adjusting entries

- **Adjusting entries for prepaid expenses (asset initially recorded):**



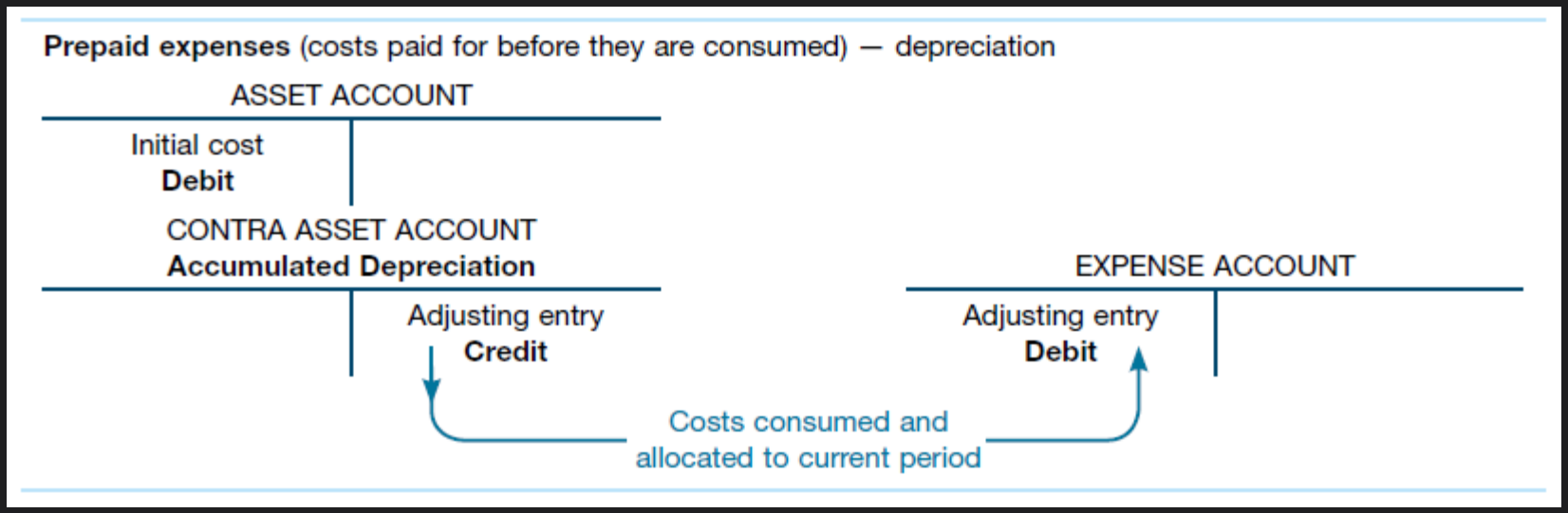
Classification of adjusting entries

- **Adjusting entries for prepaid expenses (expense initially recorded):**



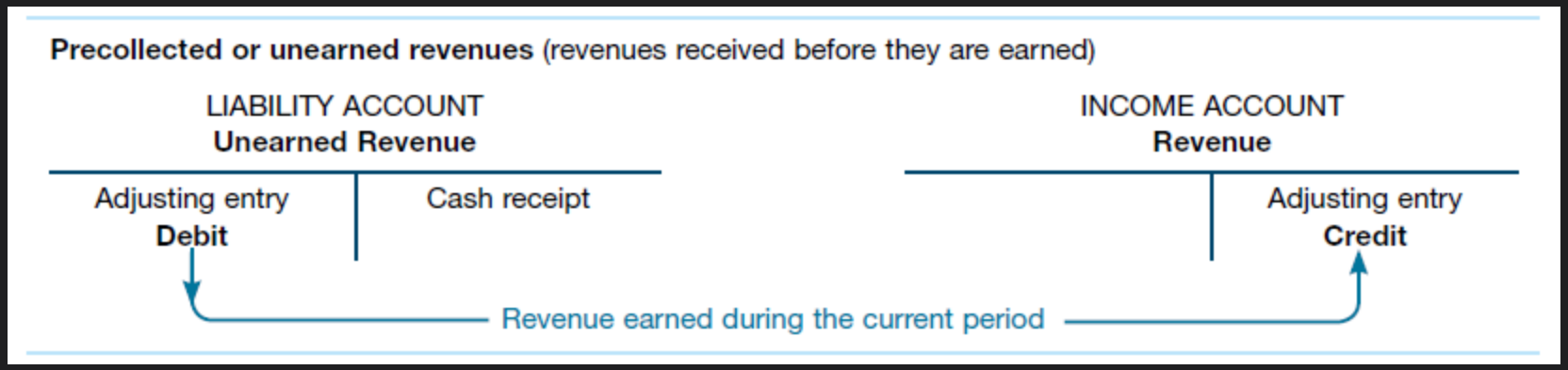
Classification of adjusting entries

- **Adjusting entries for prepaid expenses (non-current assets) – depreciation:**



Classification of adjusting entries

- **Adjusting entries for precollected or unearned revenues:**

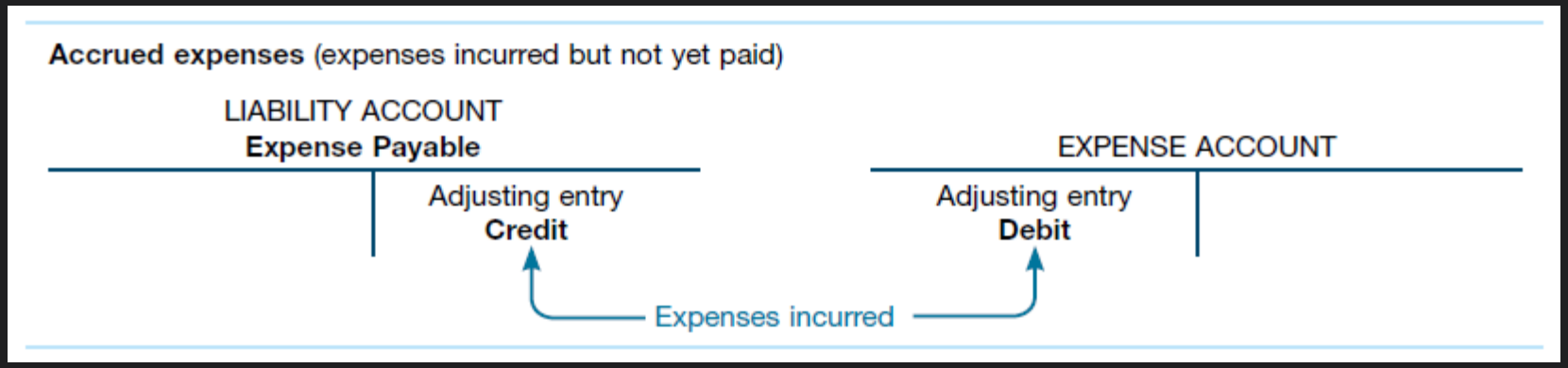


Classification of adjusting entries

- **Adjusting entries for accruals:**
  - **Accrued or unrecorded expenses:**
    - Expenses that have been consumed but have not been recorded because payment has not yet been made.
    - An adjusting entry is needed to recognise the expense in the period in which it is incurred rather than in the period of payment.

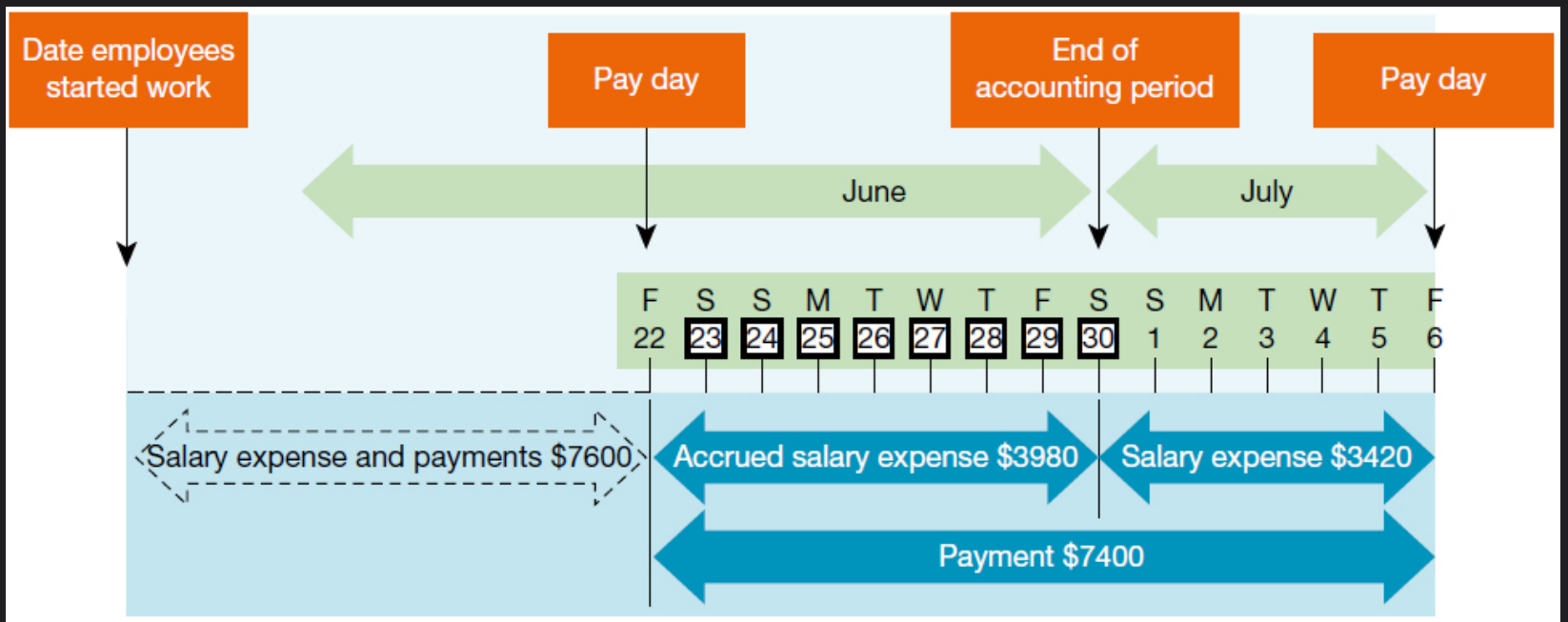
Classification of adjusting entries

- **Adjusting entries for accrued and unrecorded expenses:**



Classification of adjusting entries

- **Diagram of salaries paid and accrued:**



Note: The total salaries vary in each pay period because some employees work part time.

Classification of adjusting entries

- **Adjusting entries for accruals:**
  - **Unrecorded or accrued revenue:**
    - Usually recorded when service is performed.
      - No adjusting entry would be necessary.
    - Revenue that is unrecorded at the end of the period must be included in the accounting records by debiting a receivable and crediting a revenue account.

Classification of adjusting entries

- **Adjusting entries for accrued revenues:**

Accrued revenues (revenues earned but not yet received)

ASSET ACCOUNT **Accounts Receivable**		INCOME ACCOUNT **Revenue**	
Adjusting entry **Debit**			Adjusting entry **Credit**

Revenue earned but not yet received in cash

Classification of adjusting entries

- **Summary of end-of-period adjustments:**

Type of adjustment	Accounts affected	Adjusting entry		Results of making no adjustment
Prepaid expenses	Assets	**Expense account**	**Dr**	Assets overstated
(deferrals)	Expenses	**Asset account**	**Cr**	Expenses understated
Unearned revenues	Liabilities	**Liability account**	**Dr**	Liabilities overstated
(deferrals)	Revenues	**Revenue account**	**Cr**	Revenues understated
Accrued expenses	Expenses	**Expense account**	**Dr**	Expenses understated
(accruals)	Liabilities	**Liability account**	**Cr**	Liabilities understated
Accrued revenues	Assets	**Asset account**	**Dr**	Assets understated
(accruals)	Revenues	**Revenue account**	**Cr**	Revenues understated

Adjusted trial balance

- Same accounting process applied.
- Unadjusted trial balance used as starting point.
- Adjusting entries are posted to the general ledger.
- An adjusted trial balance can then be prepared.
- Debits must still equal credits.
- Adjusting entries always affect a statement of financial performance account and a statement of financial performance account.

Adjusted trial balance

- **Preparation of financial statements:**
  - **Statement of financial performance:**
    - Prepared first to determine profit or loss.
    - Reflects entity's performance for the period.

Adjusted trial balance

- **Preparation of financial statements:**
  - **Statement of changes in equity:**
    - Profit (loss) must be added to (subtracted from) equity.
    - Capital contributions and Drawings/Dividends also recorded.
    - Shows details of movements in equity.
    - Equity balance is reported in statement of financial position.

Adjusted trial balance

- **Preparation of financial statements:**
  - **Statement of financial position:**
    - Reflects entity's financial position as at the end of the period.
    - Three major categories of accounts:
      - assets
      - liabilities
      - equity.
    - Statement users find it useful if assets and liabilities are further classified.

Adjusted trial balance

- **Subcategories for assets and liabilities:**

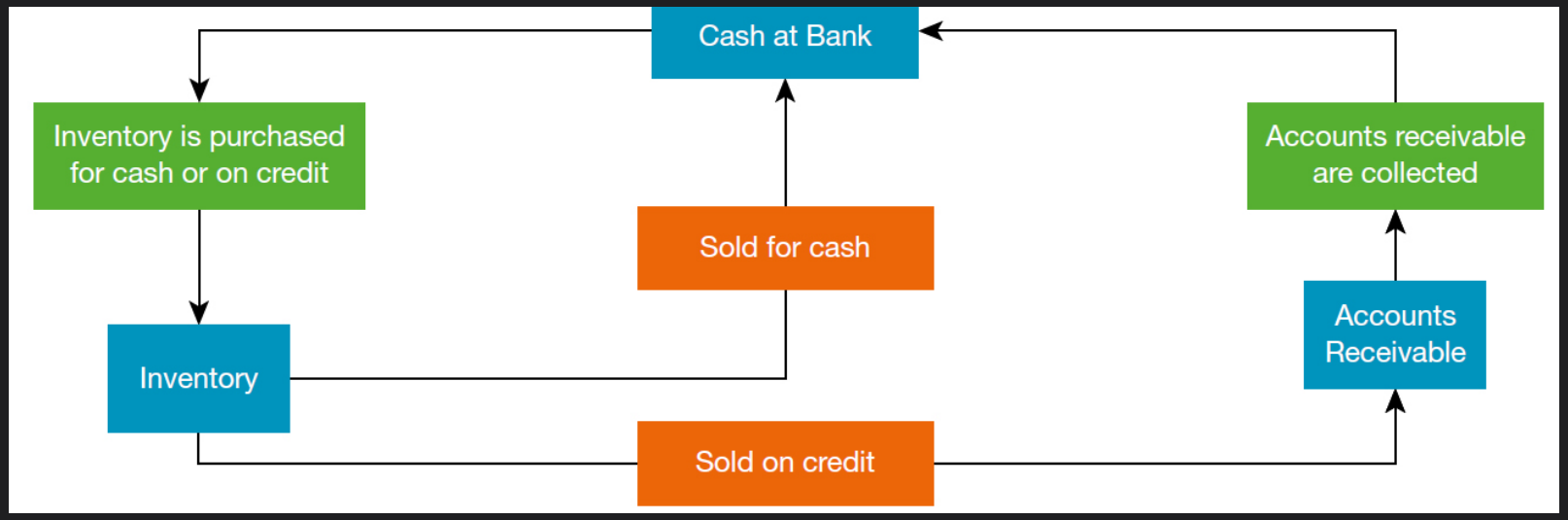
Assets	Liabilities
Current assets	Current liabilities
Non-current assets:	Non-current liabilities
Investments	
Property, plant and equipment	
Intangible assets	
Other assets	

Distinguishing current and non-current assets and liabilities

- **Current assets:**
  - Cash and other types of assets that are held primarily for the purpose of sale or trading.
  - Will be used up/paid off within a single operating cycle (usually 12 months).
  - The operating cycle is the average length of time it takes to acquire inventory.

Distinguishing current and non-current assets and liabilities

- **The operating cycle:**



Distinguishing current and non-current assets and liabilities

- **Non-current assets:**
  - Will not be used up/paid off within a single operating cycle (usually 12 months).
  - Property, plant and equipment are expected to be used by the business entity for a number of years and are not held for resale.
  - An intangible asset is one that usually does not have a physical substance.

Distinguishing current and non-current assets and liabilities

- **Current liabilities:**
  - Entity that are reasonably expected to be settled in the entity's normal operating cycle.
  - It will require payment in the short term accounts payable (trade creditors), interest payable and other accrued liabilities.

Distinguishing current and non-current assets and liabilities

- **Non-current or long-term liabilities:**
  - Entity that do not require payment within the entity's operating cycle or within 12 months.
  - Long-term debt is that portion of the mortgage due after 1 year.
  - The interest accrued on both the long-term and short-term portion of the debt is reported as a current liability.

Preparing financial statements from a worksheet

- Assembles all information needed to adjust the accounts and prepare financial statements.
- Aids in the preparation of interim financial statements when adjusting and closing entries are not required.
- Contains information needed to close off profit and loss accounts for the period if required.

Preparing financial statements from a worksheet

- **Preparation of the worksheet:**
  1. Enter ledger account titles and balances in the account title and unadjusted trial balance columns.
  2. Enter the necessary adjusting entries in the adjustment columns.
  3. Prepare an adjusted trial balance.
  4. Extend every account balance listed in the adjusted trial balance columns to its proper financial statement column.

Preparing financial statements from a worksheet

- **Preparation of the worksheet:**

5. Steps below:
    - Total the two statement of financial performance columns
    - Total the two statement of financial position columns

Preparing financial statements from a worksheet

- **Preparation of the worksheet:**

5. Steps below:
    - Calculate the difference between the totals of the two statement of financial performance columns and enter this as a balancing amount in both the statement of financial performance and statement of financial position columns.
    - Calculate the four column totals again with the balancing amount included.

Preparing financial statements from a worksheet

- **Preparation of financial statements:**
  - Completed worksheet is:
    - used to prepare the financial statements.
    - can be used as a basis for journalising adjusting and closing entries.
  - Statement of financial performance:
    - prepared from account balances listed in the two statement of financial performance columns.

Preparing financial statements from a worksheet

- **Preparation of financial statements:**
  - Statement of changes in equity and the Statement of financial position are:
    - prepared from items contained in the statement of financial position columns.

Financial statements and decision making

- **Financial statements are the final output of the accounting cycle.**
  - Not an ends in themselves.
  - Allow users to make decisions.
- **Questions might include:**
  - Has the business been profitable?
  - Does the profit made compare with what I expected?
  - And so on.

Summary

- Difference between the cash basis and the accrual basis.
- The accounting cycle and end-of-accounting-period adjusting entries.
- Identifying and preparing the different types of adjusting entries.
- Preparing adjusted trial balance and financial statements.
- Difference between current and non-current assets and liabilities.

Summary

- Using the worksheet.
- Use of financial statements in decision making.

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